

CHAPTER 15

Fees Matter in Asset Allocation Planning

KEY CONCEPTS

- Expenses have a direct impact on investment returns and should be low.
- Taxes can be controlled through proper management.
- Discipline is the key to investment success.
- Professional investment advisors can provide assistance.

Successful asset allocation is all about planning, implementation, and investment discipline. It involves proper investment selection based on your needs and regular maintenance. Effective cost controls including tax management also play a major part in investment success. All these elements together form a no-nonsense, businesslike approach to managing your money.

The purpose of this chapter is twofold: first, to discuss cost controls including tax management, and second, to introduce methods for seeking professional help when needed. The more you pay in fees and commissions, the less you earn in return. Controlling costs is an important part of any investment strategy, and that includes a good tax strategy. Some people opt to hire a professional investment manager to help with this asset allocation process and to stay on track. The final part of the chapter discusses the advantages and disadvantages of hiring an investment advisor.

INVESTMENT COSTS

“A penny saved is a penny earned.” That old axiom applies particularly well to investing. Every penny spent on unnecessary mutual fund fees, custodial charges, commissions, advisor’s fees, and other expenses is one penny less that you have for retirement. One simple way to increase your investment